5.2 Monetary Policy and the Federal Reserve

Video: Monetary Policy and the Federal Reserve (Crash Course Economics)

The Central Bank

The _____, or "The Fed," is the central bank of the United States.

Central banks have two main jobs: they regulate the nation's commercial banks so they have enough reserves to avoid _____, and they conduct _____, which is increasing or decreasing the money supply to speed up or slow down the economy.

Interest Rates and the Money Supply

An _____ is the price of borrowing money. Banks expect to get back the amount they lent, called the _____, plus a percentage.

When the Fed increases the money supply, banks have more money to lend and are forced to _____ interest rates. Less money supply means higher interest rates.

Policy	Money Supply	Interest Rates	Goal
_____ Monetary Policy	Increase	Decrease	Speed up the economy
_____ Monetary Policy	Decrease	Increase	Slow down the economy

Real-Life Examples

After the Dot Com bust and 9-11, the Fed boosted the money supply to fight a _____.

In the late 1970s, prices rose up to 13% per year. Fed Chairman Paul Volcker decreased the money supply, which drove down _____ but increased unemployment.

During the Great Depression, the Fed let banks fail. Banks lacked _____ (cash), so they could not pay depositors.

Three Tools to Change the Money Supply

In _____, banks hold a portion of deposits and loan the rest out.

Change the _____: lowering it increases the money supply.

Change the _____, the interest rate the Fed charges banks: lowering it increases the money supply.

_____: the Fed buys or sells short-term government bonds. Buying bonds increases the money supply. This is the tool used most often.

After 2008: Quantitative Easing

When interest rates were near zero and the economy was still weak, the Fed used _____, buying longer-term assets such as mortgage backed securities.

Some worried this would cause inflation, but inflation stayed low. Many economists say banks held the money as _____ instead of loaning it out; others point to uncertainty in Europe or a still-sputtering economy.

Fiscal Policy vs. Monetary Policy

_____ changes government spending or taxes; monetary policy changes the money supply. Which works better? It _____.

Many economists argue monetary policy is more effective for ordinary slowdowns because it is enacted quickly by experts, while fiscal policy might be more effective in a very _____ downturn. In 2008, the U.S. did both.

Think About It

If interest rates went up, how might that change your plans to buy a car or pay for college?

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